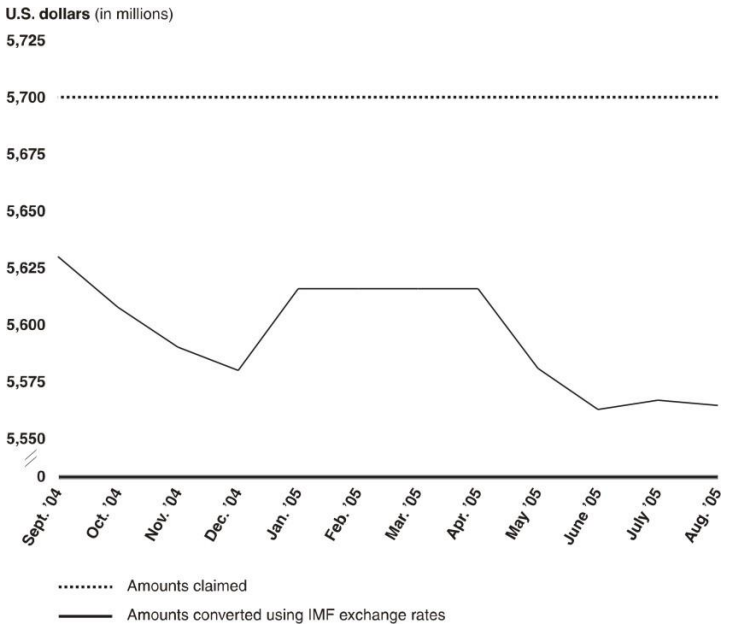
rates that were stated in Pakistan's September and October 2004 claims, and we converted the claimed cost into rupees. We then converted the claimed cost back into U.S. dollars using the applicable IMF exchange rates and compared the resulting figure with the amount paid by Defense. Figure 5 illustrates the results of our analysis and shows that CSF would have been billed fewer dollars had IMF exchange rates been used.



Source: GAO analysis of Pakistani claims and IMF data.

Note: IMF data includes market rate, period average, by month, exchange rates for U.S. dollars per Pakistan rupee.

Figure 5. Effect of Exchange Rate Fluctuations on One Fixed Pakistani Claimed Cost, September 2004 through August 2005.

Most of the Pakistani claims do not provide enough information to determine if the costs were appropriately converted from rupees to dollars. Therefore, we were unable to calculate the potential overbilling for all claims for the entire period under review. However, if Pakistan has been using a fixed exchange rate, then Defense has likely overpaid its reimbursements. If the rupee continues to decline against the dollar, future Pakistani claims calculated using a fixed exchange rate will become more and more inflated over time.

ODRP Began Playing a Larger Role in the CSF Oversight Process in Late 2006; However, ODRP's Continued Oversight Is Not Assured

Defense's 2003 guidance did not specifically task ODRP with attempting to verify Pakistani military support and expenses, despite recognition by Defense officials that such verification is best performed by U.S. officials in Pakistan, who have direct access to

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